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By Tommaso Lecca · Oct 29, 2026, 3:09 PM · View in your browser

BRUSSELS — High jet fuel prices will drive several European airlines into bankruptcy this winter, but Wizz Air will dodge the crisis thanks to its long-term hedging contracts, CEO József Váradi said Wednesday.

The airline has hedged 85 percent of its fuel consumption at roughly pre-war prices through the end of March, Váradi said, and its rolling 18-month hedging program is expected to provide protection from April through October 2027 for half of its fuel consumption. Wizz Air's contracts lock in prices for longer than the shorter agreements favored by many competitors, the CEO said.

"The current market price is roughly $1,500 a metric ton and I am hedged at $900 a metric ton already on half of my requirements between April to end of October 2027," Váradi, who founded Wizz Air in 2003 and has served as its CEO ever since, told POLITICO. Other airlines "have a short-term view and, as the price is not coming down, they are screwed."

Airlines hedge by agreeing in advance to pay a set price for some of their future fuel, protecting them from market swings. Fuel hedging strategies among European airlines vary in terms of duration and the proportion of fuel consumption covered. Finnair said this week that 34% of its fuel consumption for next year was hedged, while Ryanair has hedged 80% of its fuel consumption through March, but is unhedged into the summer of 2027.

The continuing U.S.-Israeli war against Iran has disrupted oil-product shipments through the Strait of Hormuz, and jet fuel prices have doubled since the conflict began. As airlines enter the less profitable winter months, some shorter-term hedges are expiring, exposing them to higher market prices for their biggest operating expense.Ryanair CEO Michael O'Leary predicted last week that ticket prices would rise by up to 20 percent next year.

Váradi believes that unprepared airlines will bear the greatest cost.

"Just over the last few weeks, I can count at least four airlines … on the way to bankruptcy," he said, pointing to Latvia's airBaltic and Spain's Volotea , which have both filed for insolvency protection. Romanian carriers AnimaWings and Dan Air "are over," Váradi added. Both also filed for insolvency, although the latter still operates flights.

"But I'm pretty sure there are more than that," he added.

However, Wizz Air is not free from financial challenges. Analysts warn that its profitability has not kept pace with its growth in passenger numbers.

“In its financial year ending March 2026, Wizz Air transported almost 70 million passengers but generated a net profit of just €1.3 million, compared with €214 million the previous year,” said Wouter Dewulf, an air transport economist at the University of Antwerp.

Between April and June, the airline continued to grow but recorded “a net loss of €198 million,” Dewulf added, noting that high jet fuel prices were “a major burden,” even for Wizz Air, given that hedging contracts don’t cover all of its fuel consumption.

Váradi attributed the gap between passenger growth and profitability to investments “into short-haul Italian domestic routes and overall because we had to take out a lot of capacity from the Middle East.”

Wizz Air has faced repeated disruption as it expanded from its Central and Eastern European home market into longer routes to the Middle East, with conflicts affecting both regions.

“We are the airline that has been the most affected by geopolitics,” Váradi said.

Before Russia’s full-scale invasion of Ukraine in 2022, Wizz Air and Ryanair had overtaken the country’s flag carrier, Ukraine International Airlines, in terms of the number of passengers flying from Ukrainian-controlled airports.

“Then we got affected significantly through our Israeli and Middle Eastern operations when the Hamas war broke out in October 2023,” Váradi said, noting that conditions have deteriorated further since the start of the conflict in Iran.

The airline has also been hit by the recall of Pratt & Whitney engines over a manufacturing defect involving contaminated metal powder, which can cause components to crack over time.

“Since 2023, the Pratt & Whitney engine crisis has kept a large share of [Wizz Air] fleet parked,” said Linus Benjamin Bauer, an aviation consultant at BAA & Partners. “Even today, around one in 10 jets is on the ground while the company still pays for them,” he added.

The issue grounded 20% of Wizz Air’s fleet when it first emerged, Váradi said, adding that he expects the problem to be resolved across the fleet by the end of 2027.

Despite these setbacks, the CEO is convinced that Wizz Air “will become the ultimate cost leader in the industry in the next two years.”

“I don’t think that anyone, including Ryanair, will be able to deliver its business at lower cost than Wizz Air,” he said.

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